

OTT Customer Churn Analysis

Business Analysis Report

Objective: Identify high-risk customer segments and translate churn patterns into practical retention priorities.

1. Executive Summary

This analysis examined customer, subscription, and support data to understand churn patterns and identify segments that should receive greater retention attention. The analysis was designed around the business questions documented in the Customer Churn Analytics BRD, including subscription performance, acquisition channels, customer value, and the relationship between support experience and churn.

The dataset contains 600 customers/subscriptions and 648 support records. Overall churn was 54.83% (329 customers), while 45.17% (271 customers) remained active.

2. Business Problem

The business challenge is not only that customers are leaving, but that the organization needs clearer visibility into who is leaving, which segments are most exposed, and where retention efforts should be prioritized. The BRD identifies subscription plans, contract type, acquisition channel, customer value, support interactions, and CSAT as areas requiring evidence-based evaluation.

3. Data & Analytical Approach

Three datasets were used: Customer (600 × 8), Subscription (600 × 11), and Support (648 × 7). The workflow covered data profiling, missing-value handling, categorical standardization, duplicate checks, date validation, CSAT and churn-score validation, anomaly detection, exploratory analysis, and business interpretation.

4. Key Findings

Dimension	Active	Churned	Churn rate
Overall	271	329	54.83%
Basic plan	26	118	81.94%
Premium plan	93	130	58.30%
Standard plan	152	81	34.76%
Annual contract	183	121	39.80%
Monthly contract	88	208	70.27%
Organic	105	99	48.53%
Paid	74	84	53.16%
Referral	92	145	61.18%

Plan × Contract: Basic + Monthly showed 82.86% churn. Premium + Monthly showed 100% observed churn among 62 customers; this should be interpreted cautiously because the result is segment-specific.

CLTV: Active customers had a median CLTV of 935, compared with 555 for churned customers.

5. Support & CSAT Findings

Support records were available for 322 customers, and CSAT data was available for 322 customers. Observed churn rates were 56.76% for Low CSAT, 59.30% for Below Average, 53.33% for Good, and 54.55% for Excellent.

Escalation groups showed 54.46% churn for 1 escalation, 56.00% for 2+ escalations, and 57.04% for no escalation.

These results do not show a strong or consistent churn gradient across CSAT or escalation groups in this dataset.

Therefore, support variables should not be presented as confirmed primary churn drivers.

6. Business Insights

1. Monthly contracts are a clear retention priority because their churn rate is substantially higher than annual contracts.
2. Basic-plan customers represent a high-risk segment and deserve targeted retention attention.
3. Combining plan type with contract type reveals higher-risk segments than looking at either dimension alone.
4. Referral customers have the highest observed churn rate among the three meaningful acquisition channels in this dataset, so referral quality and post-acquisition retention should be reviewed.
5. Customer value should be incorporated into retention prioritization rather than focusing on churn rate alone.

7. Recommended Actions

Product: Investigate why monthly customers churn at a higher rate and test incentives or offers that encourage annual adoption before considering broader plan redesign.

Marketing: Review referral-acquired customers beyond acquisition volume and evaluate retention quality by channel.

Finance: Prioritize high-CLTV customers who also show elevated churn risk when allocating retention resources.

Customer Support: Continue monitoring complaint category, escalation, and CSAT, but avoid treating them as confirmed churn drivers until stronger evidence is available.

Future analytics: Build customer-level churn risk segmentation or a predictive model once additional validated features and sufficient historical data are available.

8. Limitations

The analysis is based on the available dataset and observed relationships; it does not establish causation.

Cancellation reasons are self-reported and should be treated as indicative. Campaign-level acquisition cost and servicing cost were unavailable, so precise CAC, campaign ROI, and net profitability could not be calculated. First Contact Resolution Rate and Average Resolution Time were also unavailable in the support dataset.

9. Final Conclusion

The analysis indicates that churn is concentrated in particular subscription and contract segments rather than being evenly distributed across the customer base. Monthly contracts and Basic-plan customers are the most visible retention priorities, while the Plan × Contract view provides additional targeting detail. Customer value adds another important dimension for deciding where retention investment may have the greatest business value.

The next logical step is to move from descriptive churn analysis toward customer-level risk segmentation, supported by ongoing monitoring and additional validated data.